A premium skincare brand, *Lumina*, known for its $150 anti-aging cream, is considering launching a "Sub-Brand" priced at $40 to capture the Gen-Z market in retail pharmacies. Which of the following strategies minimizes **brand dilution** while maximizing market penetration?

- **A)** Use the "Lumina" logo prominently on the new packaging to leverage existing trust, but sell exclusively through discount wholesalers.
- **B)** Launch under a completely different brand name (*Glow-Up*) with a "By Lumina" tagline in small print, focusing on digital-first influencers rather than traditional luxury retail.
- **C)** Keep the Lumina name but reduce the quantity of the product by 50% to justify the $40 price point, maintaining the luxury positioning.
- **D)** Rebrand the original $150 product as "Lumina Platinum" and the new $40 product as "Lumina Gold" to create a clear tiered hierarchy within the same stores.

Answer - B

A D2C mattress startup is analyzing its monthly performance.

- **Impressions:** 1,000,000 | **CTR:** 2% | **Landing Page Conversion:** 5% | **AOV (Average Order Value):** $200. If the startup wants to double its revenue, which of the following changes would be the **most cost-effective** assuming linear scaling?
- **A)** Doubling the Ad Spend to reach 2,000,000 impressions.
- **B)** Improving the Landing Page UI to increase Conversion from 5% to 10%.
- **C)** Increasing the AOV to $300 by bundling pillows, even if it leads to a 1% drop in Conversion.
- **D)** Negotiating with the ad platform to increase the CTR to 4% by using more aggressive click-bait headlines.

Answer - B

A performance marketing team reports:

- Cost per lead (CPL) ↓ 15%
- Conversion from lead to paid customer ↓ 20%
- Overall CAC ↑ 10%

What is the **BEST conclusion**?

A. Lower CPL indicates campaigns are working and should be scaled
B. Lead quality has deteriorated, offsetting gains at the top of the funnel
C. Sales team inefficiency is the primary cause of higher CAC
D. Pricing strategy needs immediate revision

✅ *Correct: B*

A global corporation, "OmniCorp," owns a detergent brand, a snack brand, and a luxury hotel chain. None of these products feature the OmniCorp name or logo on their packaging, allowing each to have its own unique personality and target audience. This is an example of:

- **A.** A Branded House
- **B.** A House of Brands
- **C.** Co-Branding
- **D.** Endorsed Branding

Answer: B. A House of Brands

Marriott International operates Ritz-Carlton (luxury), Courtyard (mid-tier), and Moxy (budget). While they are distinct brands, they all feature the "Marriott Bonvoy" logo in the corner. This is an example of:

- A. House of Brands
- B. Branded House
- C. Hybrid/Endorsed Brand Architecture
- D. Multi-Channel Marketing

Answer: C. Hybrid/Endorsed Brand Architecture.

Q3 A newly launched consumer-tech startup is entering a highly competitive market dominated by 2 established players.
The target segment consists primarily of customers who:
Frequently compare prices across platforms
Have low switching costs
Exhibit low brand loyalty in the early stages
The startup has:
Limited brand awareness
Moderate initial funding
A short runway to achieve rapid user acquisition and market penetration
Management's primary objective in the first 3–6 months post-launch is to:
Build a large customer base quickly
Discourage competitor retaliation through aggressive customer acquisition

Achieve scale before focusing on margins
Given these constraints and objectives, which pricing strategy would be most effective during the product launch phase?

- **A. Price Skimming**
- **B. Penetration Pricing**
- **C. Competitive Pricing**
- **D. Freemium Pricing**

Answer B: Penetration Pricing

Q4 A legacy soft drink brand has observed a gradual decline in relevance among consumers aged 16–24.

Internal research reveals that this cohort:

Associates vibrant, high-contrast visuals with self-expression and social identity

Is more influenced by peer culture, trends, and digital aesthetics than functional product attributes

Views packaging as a reflection of lifestyle rather than product quality

In response, the brand revamps its packaging by introducing neon color palettes, bold typography, and trend-driven visual cues, while keeping the product formulation, pricing, and distribution unchanged.

The objective of this change is not personalization at an individual level, but resonance with a specific consumer mindset and cultural orientation.

Which marketing concept does this strategy most accurately illustrate?

- **A. Leveraging multi-sensory stimuli to influence consumer perceptions and emotions**
- **B. Implementing personalized marketing strategies based on predictive consumer behavior analytics**
- **C. Creating a differentiated market position through a tailored value proposition aligned with customer needs**
- **D. Utilizing psychographic segmentation to target individuals based on their lifestyle, interests, and social affiliations.**

Answer : D

Q5

An insurance company uses ads centered on family protection and life moments rather than policy features or claim ratios.

What role does emotional appeal play in this communication strategy?

A) It reduces the cognitive effort required to understand complex policy details
B) It improves ad recall by forming emotional associations with risk and security
C) It ensures compliance with regulatory disclosure norms
D) It replaces rational evaluation with impulse-driven purchase behavior

✅ Answer: B

Context: Silver prices have spiked to $117/oz this week (Jan 2026). For an electronics or high-end jewelry brand, this creates a massive "Cost of Goods Sold" (COGS) crisis.

Question: You are the Marketing Head for a smartphone brand. Your high-end model uses significant silver in its motherboard. Your manufacturing cost just rose by $15 per unit. Which marketing-led pricing move is the most logical?

- **A) Absorb the $15 cost entirely and keep your price the same to beat competitors on value.**
- **B) Raise the price by exactly $15 and add a "Commodity Surcharge" notice at checkout so customers understand why.**
- **C) Raise the price by $50 but rebrand the model as "The Limited Silver Edition," adding a premium metallic finish to the exterior to justify the higher price point.**
- **D) Switch to a cheaper metal immediately and don't tell the customers, keeping the price and marketing the same.**

Correct Answer: C

Q6 Tesla opens pre-orders months before delivery and communicates limited production slots.

What function do pre-orders serve in this context?

A) Financing production through customer advances
B) Creating early demand signals and validating market interest
C) Reducing post-launch marketing costs
D) Transferring inventory risk to consumers

✅ Answer: B

Q7 Red Bull placed empty cans in public spaces to simulate widespread adoption.

What perception was this tactic designed to create?

A) Immediate trial and purchase
B) Organic popularity and social validation
C) Media controversy
D) Product experimentation

✅ Answer: B

Q8 A handcrafted luxury home décor startup targets affluent urban buyers and wants a premium local presence.

Which channel aligns with this objective?

A) High-frequency social media ads
B) Local lifestyle and design publications
C) Prime-time television
D) Outdoor billboards

✅ Answer: B

Q9 A startup is launching a wireless earphone priced to manufacture at ₹1,200 per unit. The market already has several alternatives priced between ₹1,500–₹2,000. Customer research shows:

- **Buyers frequently compare prices online**
- **Brand loyalty is low**
- **Switching costs are negligible**

The startup's objective is to maximize adoption within the first 12 months, even at the cost of short-term margins.

Which pricing action aligns with this objective?

A) Launch at ₹2,499 to signal superior sound quality and recover development costs early
B) Launch at ₹1,399 to accelerate trial and establish a large installed user base
C) Launch at ₹1,999 and offer cashback through partner platforms
D) Launch at ₹1,599 and rely on influencer-led differentiation

✅ Answer: B

Q10 A company adds a "lite" version of its software to attract budget-conscious users while keeping its "pro" version for power users. Which strategy is being used?

- A. Diversification Strategy
- B. Market Penetration Strategy
- C. Product Development Strategy
- D. Market Development Strategy

Answer: C

Q11 An FMCG brand launches a “Buy 1 Get 1 Free” offer for 72 hours, with live stock counters showing limited remaining units.

Which behavioral trigger is being activated?

A) Perceived urgency due to potential unavailability
B) Social validation from observing others purchase
C) Desire to reciprocate a favorable deal
D) Avoidance of future regret after purchase

✅ **Answer: A**

Q12 Fevicol has, over multiple decades, maintained a consistent advertising philosophy centered on humor, exaggerated everyday situations, and deep-rooted Indian cultural references.
Iconic campaigns—such as visuals of passengers stuck to a bus roof—use absurd storytelling to indirectly communicate the product’s core functional benefit: exceptional strength and reliability.

Despite operating in a market where competitors frequently rely on:

- **Celebrity endorsements**
- **High-frequency media spends**
- **Feature-heavy product messaging**

Fevicol has continued to build strong brand recall and long-term brand equity primarily through creative-led communication. Importantly, these campaigns do not explicitly hard-sell the product but rely on emotional familiarity and intuitive understanding of the brand promise.

Why does this advertising strategy continue to resonate strongly with Indian audiences despite the absence of celebrity endorsements and high-budget campaigns?

● It targets the pain points of the primary consumers i.e the professionals making it more relatable.
● B. It involves cultural relatability, creative storytelling, and a clear brand promise.
● C.Spending money on increasing frequency of advertisements rather than quality of advertisements by using celebrities work well for a general product here an adhesive.
● D.The ads make the product quality feel superior in the sub conscious mind.

Correct Answer B: It involves cultural relatability, creative storytelling, and a clear brand promise.

A customer checks Amazon reviews while standing in a physical retail store. Which Google concept does this best represent?

- **A. Unique Selling Proposition (USP)**
- **B. Customer Lifetime Value (CLV)**
- **C. Zero Moment of Truth (ZMOT)**
- **D. Point-of-Purchase (POP) Advertising**

Answer: C

Integrated Marketing Communications (IMC) is best described as:

- **A. Using only social media**
- **B. Different tools working harmoniously to deliver one cohesive message**
- **C. Selling directly to customers**
- **D. Using word-of-mouth only**

Answer: B

Yeezy Gap's tactic of putting clothes in trash bags was designed to:

- **A. Reduce shipping costs**
- **B. Create a unique, bold marketing moment that generated buzz**
- **C. Hide poor quality**
- **D. Save on retail hangers**

Answer: B

A luxury fashion house avoids listing prices online and requires in-store consultations for purchases.

What consumer perception does this design reinforce?

A) Personalized negotiation and relationship-building
B) Controlled access and exclusivity of ownership
C) Transparency and trust
D) Ease of price comparison

✅ Answer: B

Q1: The Dilution Dilemma

A heritage Swiss watchmaker ($10,000+ avg. price) wants to launch a smartwatch to compete with tech giants. To protect its equity, it uses a high-grade mechanical movement for the hands but a digital screen for notifications, pricing it at $2,500. What is the primary strategic risk of this "bridge" product?

- **A) Cannibalization of the flagship mechanical line.**
- **B) Brand blurring, where the brand is "too tech for purists and too expensive for techies."**
- **C) Negative price elasticity of demand.**
- **D) Inefficient supply chain integration.**
  Answer: B

Q2: The SaaS Unit Economics

A B2B SaaS company has a Customer Acquisition Cost (CAC) of $500 and a monthly Average Revenue Per User (ARPU) of $50. If their churn rate is 5%, what is the LTV:CAC ratio, and is this business healthy?

- **A) 1:1; No, the company is barely breaking even.**
- **B) 2:1; Yes, because any ratio over 1 is profitable.**
- **C) 2:1; No, a healthy SaaS ratio is typically 3:1 or higher.**
- **D) 4:1; Yes, the company is highly efficient.**
  Answer: C (LTV = ARPU / Churn = $50 / 0.05 = $1,000. Ratio = $1,000 / $500 = 2:1)

Q3: The "Decoy Effect" in Pricing

A streaming service offers three tiers: Basic (Mobile only) for $5, Standard (HD, 2 screens) for $12, and Premium (4K, 4 screens) for $13. Most users select the $13 plan. Which psychological pricing tactic is being utilized here?

- **A) Anchoring**
- **B) The Decoy Effect (introducing the $12 option to make the $13 option seem like a steal)**
- **C) Loss Aversion**
- **D) Price Skimming**

Answer: B

Q4: Brand Architecture Evolution

A conglomerate, "Vital-Life," acquires a popular organic juice startup. Instead of rebranding it as "Vital-Life Juice," they keep the original name but add "A Vital-Life Company" in small text on the back. This transition from a House of Brands toward which model?

- **A) Branded House**
- **B) Monolithic Identity**
- **C) Endorsed Brand Architecture**
- **D) Co-Branding strategy**

Answer: C

Q5: Performance Marketing Anomalies

An e-commerce brand sees its Return on Ad Spend (ROAS) increase from 3x to 5x over a month, yet their total Net Profit has decreased significantly. What is the most likely cause?

- **A) The team is over-optimizing for "Brand" keywords that would have converted anyway (Organic Cannibalization).**
- **B) The Landing Page Conversion rate has doubled.**
- **C) Customer Lifetime Value (CLV) has increased.**
- **D) The Average Order Value (AOV) has spiked.**

Answer: A

Q6: Market Entry Strategy

A new electric bike company enters a saturated market. They offer a "Lifetime Battery Replacement" guarantee—a feature no competitor provides—to offset their higher-than-average price point. This is an example of:

- **A) Cost Leadership**
- **B) Market Penetration through predatory pricing**
- **C) Blue Ocean differentiation within a Red Ocean market**
- **D) Operational Excellence**

Answer: C

Q7: Behavioral Economics in UX

A travel booking site shows a notification: *"14 other people are looking at this hotel right now."* Which behavioral trigger is being used to drive conversion?

- **A) Reciprocity**
- **B) Social Proof / Scarcity**
- **C) Authority Bias**
- **D) Framing Effect**

Answer: B

Q8: The "Halo Effect" in Product Launch

A high-end smartphone brand launches a $3,000 "Ultra-Limited" foldable phone that they know will only sell a few thousand units. Simultaneously, they launch their standard $900 flagship. What is the primary marketing purpose of the $3,000 phone?

- **A) To drive the bulk of the company's annual revenue.**
- **B) To act as a "Halo" product, elevating the brand's perceived innovation and making the $900 phone look affordable.**
- **C) To liquidate excess component inventory.**
- **D) To test the mass-market viability of foldable screens.**

Answer: B

Q9: Post-Purchase Dissonance

An expensive EV brand sends a "Welcome to the Future" high-quality coffee table book to customers two weeks after they receive their car. What is the primary marketing objective of this physical touchpoint?

- **A) Direct Response Marketing**
- **B) Reducing Cognitive Dissonance (Buyer's Remorse)**
- **C) Generating immediate referral leads**
- **D) Minimizing manufacturing COGS**

Answer: B

Q10: Channel Strategy for Niche Luxury

A custom-made fragrance brand decides to remove its products from large department stores and sell exclusively through their own website and three "Appointment Only" showrooms in Paris, NYC, and Tokyo. This shift in distribution strategy aims to:

- **A) Increase mass-market penetration.**
- **B) Maximize "Search Engine Optimization" (SEO).**
- **C) Enhance brand scarcity and exclusivity to justify premium pricing.**

- **D) Reduce the cost of customer acquisition (CAC).**
  Answer: C